

appeared to be far more at ease in the debt market, which rarely made headlines.

Sharma's business model had now evolved to the point where his firm was arranging loans for some of the top corporate houses in the country. In 2007-08, the company's annual revenue was less than Rs 10 crore and net profit Rs 4.22 crore. By the first half of 2010-11, Money Matters had made a net profit of around Rs 75 crore on revenues of Rs 224 crore, sending its stock price soaring. The company's scorching pace of growth made Sharma a force to reckon with in the financial services industry. Naturally, it also fostered jealousy and resentment among his rivals, most of whom had been left far behind in the race. One of them, an erstwhile business partner of Sharma's, is said to have snitched about Sharma's 'business model' to the investigating agencies. It turned out that Sharma was bribing officials at state-owned banks to get them to sanction loans to his clients, many of them real estate companies. In some of the cases, Sharma was able to get the banks to sanction loans to real estate companies in excess of what they were eligible for.

Sharma was arrested by the CBI, along with Ramachandran Nair, the CEO of LIC Housing Finance, and officials at LIC, Bank of India, Central Bank of India and Punjab National Bank. Barely a month before the scam was exposed, Money Matters had raised \$100 million by placing shares for Rs 625 apiece with institutional investors, who included top names like Morgan Stanley, Wellington Asset Management, GMO and Fidelity. The stock, which was quoting below Rs 100 a year ago, surged to around Rs 700 by the time of the placement. A sevenfold rise in the stock price should have prompted potential investors to do some serious homework before buying into the issue. But that is the last thing most fund managers bother to do in a booming market.

I was tipped about the stock some months before all this, and managed to make a quick buck without staying invested for too long. My friend who had told me about the stock was confident that it would touch Rs 1,000 before the year ended. I would have hung on, but for the company deciding to offer shares to institutional investors. My experience has been that much of the action in a flavour-of-the-season stock happens before a share placement. I had almost doubled my initial investment in the stock and had no qualms about cashing out. Sharma's arrest sent the stock into a nosedive, one from which it never recovered. Between 23 November and 31